

It is certainly not for a lack of trying. But unsure of their direction, the team has been squashing or holding off on projects, say industry insiders. Prominent among them is *Baahubali: Before the Beginning*—a prequel to the blockbuster Telugu films that began production a few years ago—on which more than ₹100 crore is believed to have been written off, three sources told *Business Today*. Reportedly, Netflix has indicated that it plans to reboot the production, but it is yet to see the light of day.

Of course, Netflix pays for the direct costs even on cancelled projects, but its approach is causing some concern in the content creation community. “You need to have conviction when you decide to make something. Otherwise, don’t action it,” says a content producer, requesting anonymity.

Part of this could perhaps be attributed to churn in the India team. Attrition is normal in any business, but Netflix seems to have been hit harder than normal. For example, Srishti Behl Arya, who was the director of original films for India and the person behind more than 35 original films such as *Guilty*, *AK vs AK* and *Serious Men* as well as Tamil and Telugu anthologies *Paava Kadhaigal* and *Pitta Kathalu*, left in May 2021. In the year preceding her exit, Swati Mohan (director, marketing) and Nimisha Pandey (director, international originals), Aashish Singh (director, original films) and Divya Pathak (director, publicity) had quit the team.

In response to a detailed questionnaire, a Netflix spokesperson told *Business Today*: “We’ve seen an exciting response to the price change in India and we are focussed on ease of access through partnerships with Jio, Airtel and Tata Play, multiple TV, mobile phone and device manufacturers and payment methods like UPI AutoPay... We’re focussed on viewing and revenue growth by continuing to improve all aspects of Netflix—in particu-



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SHAILESH KAPOOR

**FOUNDER & CEO,
ORMAX MEDIA**

lar the quality of our programming and recommendations, which is what our members value most.”

Netflix, which prided itself on being an ad-free platform, is now open to the idea of having commercials. “Those who have followed Netflix know that I’ve been against the complexity of advertising and a big fan of the simplicity of subscription. But as much as I’m a fan of that, I’m a bigger fan of consumer choice. And allowing consumers who would like to have a lower price and are advertising-tolerant [to] get what they want makes a lot of sense,” said Hastings at the latest earnings call. That just may be a good idea for Netflix in India, says Abhishek Rege, CEO of Endemol Shine India, which has produced content for the platform. “We have a history of advertising, subsidising or sponsoring our content. That, together with Netflix’s foray into gaming and potential

linear or shuffle TV rollout, could actually be the accelerators for its next round of growth in India.” But it may not be an easy task. It comes back to the question of subscriber base because advertisers need eyeballs and AVOD (ad-based video on demand) only helps monetise non-paying users. Netflix will have to go in for more mass market entertainers and shed its intellectual image, experts say.

In its current form, according to Naresh Gupta, Co-founder and Chief Strategy Officer of media communication company Bang In The Middle, there is low interest from the mainline brands to advertise on Netflix, and it won’t feature high up even in the plans of the premium brands that may want to. “Netflix has the same problem that HBO and Star Movies had in the past. Its English-focussed library means that brands get a very small advertising opportunity, which they are happy to ignore,” says Gupta, adding that Netflix has to act like an influencer and look at content integration and partnerships on social media rather than a pure ad-serve model to be successful. “If Netflix has to get into AVOD, it has to expand its target audience and content offerings to other regions,” says Taurani.

Ormax’s Kapoor says there is a large AVOD audience within the OTT viewership—which binges on YouTube and MX Player—waiting to be tapped. “There are many people who have not taken their first subscription. That large base, over the next one to three years, will think about paying, and that base will continue to grow. The question is, will they pay for Netflix?”

Rather, is it willing to alter its sensibilities to get more Indian users? While the hunt for the next big hit is on, Netflix will need to get its act together in India. **BT**

@SaysVidya